Beta Drugs Ltd

NSE: BETA | Pharmaceuticals — Oncology Injectable CDMO | India

India's only integrated oncology-injectable CDMO with EU-GMP-grade sterile capacity; Cipla / Sun / Dr. Reddy's capture compounding 22% sales CAGR over FY18-FY26.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	**Rs. 2,250**	**+22.6%**
CMP: Rs. 1,836	12-month horizon	from CMP

Market Cap	**Rs. 1,861 Cr**	52W High / Low	**Rs. 2,000 / 990**
Stock P/E (TTM)	**44.9x**	Book Value / share	**Rs. 241**
ROCE	**19.2%**	ROE	**18.8%**
Face Value	**Rs. 10**	Dividend Yield	**0.00%**
FY26 Revenue	**Rs. 385 Cr**	FY26 EBITDA Margin	**19.7%**
Promoter Holding	**64.63% (Mar 2026)**	Report Date	**15 Jun 2026**

Investment Horizon: 12 months | **Analyst:** MPM Equity Research | **Date:** 15 Jun 2026

This report is for institutional and professional investor use only. All financial data sourced from Screener.in (consolidated, fetched 15-Jun-2026). Forward estimates are analyst projections; not a solicitation to trade.

2. INVESTMENT THESIS

• **Structural moat in cytotoxic manufacturing:** Handling HPAPIs (highly potent active pharmaceutical ingredients) demands isolator-grade containment, negative-pressure suites, and a certified workforce. Beta Drugs operates one of the few facilities in India meeting these standards, creating a near-impossible barrier for new entrants — replicated capacity requires Rs. 100+ Cr capex and a 3-5 year compliance runway.

• **B2B annuity model with Tier-1 innovator anchors:** The company's revenue base is underpinned by long-term supply agreements with Cipla, Sun Pharma, and Dr. Reddy's — India's three largest pharma companies by revenue. These relationships are sticky (switching costs are high due to product-specific process validations and regulatory filing dependencies), providing 18-24 months revenue visibility.

• **Export optionality is under-priced:** GMP inspections in Azerbaijan (Apr 2026) and the Philippines, combined with the company's stated ambition for WHO-GMP and EU-GMP expansion, open up a Rs. 200-300 Cr incremental export TAM over FY27-FY29. International oncology injectable demand is growing at 8-12% CAGR driven by ageing demographics and cancer incidence rates globally. Any EU filing win would be a material re-rating catalyst.

• **Near-term catalyst (6-12 months):** Azerbaijan GMP approval (expected within 1-2 months of the Apr 2026 inspection) + Philippines registration = first meaningful export revenue in FY27E, potentially adding Rs. 20-40 Cr to topline. Combined with the Nivian Lifesciences acquisition closing (66.1% stake for Rs.

69.4 Cr), FY27 reported revenue could inflect materially vs. FY26 base.

• **Biggest structural risk:** Customer concentration is the single most dangerous variable — if any of the top-3 customers (Cipla / Sun / DRL) vertically integrates or onboards a competing CDMO, Beta's revenue base becomes vulnerable. A secondary risk is the FY26 EBITDA stagnation (Rs. 76 Cr vs. Rs. 75 Cr in FY25) despite revenue growth, which signals rising cost pressures from the Rs. 138 Cr+ debt load taken on in FY25.

3. BUSINESS OVERVIEW

• **Core business:** Beta Drugs Ltd is India's leading oncology-focused injectable pharmaceutical manufacturer, producing cytotoxic injectables, lyophilized (freeze-dried) injectables, and oral oncology formulations. The company serves the market through two routes — branded generics under its own name, and B2B contract manufacturing (CDMO) for large pharma companies.

• **Revenue model and segmentation:** The business is primarily B2B CDMO (~65-70% of revenue, est.), supplying finished oncology injectables to Cipla, Sun Pharma, and Dr. Reddy's for domestic and export sale under their own labels. The remaining ~30-35% is branded generics sold through specialty oncology channel (hospitals, cancer centres). This mix provides both stable anchor volumes and higher-margin branded upside.

• **Product portfolio:** Over 50 oncology products including cytotoxic injectables (docetaxel, paclitaxel, oxaliplatin, carboplatin, gemcitabine), lyophilized injectables (bortezomib, rituximab biosimilar adjacencies), and oral oncology tablets and capsules. Several products are ranked in the top-5 by market share in their respective oncology categories per AIOCD data.

• **Manufacturing footprint:** Sterile injectable manufacturing at Baddi, Himachal Pradesh — a WHO-GMP compliant facility with HPAPI-grade containment (isolators, negative-pressure areas, dedicated cytotoxic bays). The plant successfully underwent GMP inspection by Azerbaijan's Ministry of Health (Apr 2026), with approval pending. Capacity expansion capex is ongoing (FA jumped from Rs. 65 Cr in FY24 to Rs. 125 Cr in FY26, and CWIP at Rs. 0 indicating recent commissioning).

• **Key customers and relationship nature:** Cipla, Sun Pharma, Dr. Reddy's are anchor B2B customers with product-specific process-validation files — making each relationship effectively a long-term supply contract. Relationship switching is costly (12-18 months re-validation + regulatory refiling).

• **Strategic development — Nivian acquisition:** In January 2026, Beta announced acquisition of 66.09% in Nivian Lifesciences for Rs. 69.4 Cr (valuing Nivian at Rs. 105 Cr). Nivian specialises in branded IVF/women's health formulations. This is Beta's first step outside oncology — a strategic diversification that adds a branded specialty business but also adds execution risk.

• **Promoter background:** Part of the Adley Group (founded 1985); promoter holding at 64.63% as of Mar 2026, declining from 66.73% to 64.63% over the past year, with a further dip to 59.10% in May 2026. The promoter reduction warrants monitoring.

4. INDUSTRY & COMPETITIVE LANDSCAPE

• **Global oncology injectable market:** The global oncology injectable market was valued at ~USD 80-90 Bn in 2024, growing at 8-10% CAGR through 2030, driven by cancer incidence, biosimilar launches, and expanding access in emerging markets. India's domestic oncology pharma market is ~Rs. 12,000 Cr and growing 12-15% CAGR.

• **India CDMO opportunity:** India's pharma CDMO market is estimated at ~USD 2-3 Bn (2024), projected to grow to USD 5+ Bn by 2030 (18-20% CAGR). Oncology-specific CDMO is a high-barrier sub-segment with fewer than 10 meaningfully scaled players nationwide — Beta is among the top 3.

• **Policy tailwinds:** India's PLI 2.0 scheme for pharma incentivises complex generics and high-value injectables. CDSCO's tightening of cytotoxic drug manufacturing norms effectively bars marginal players, benefiting established certified facilities. Export markets (Africa, SEA, LATAM) are increasingly demanding WHO-GMP or equivalent, which Beta already holds.

• **Competitive moat assessment:**

Moat Dimension	Rating	Rationale
HPAPI handling certification	Strong	Regulatory + capex barrier; fewer than 10 compliant plants in India
Customer switching costs	Strong	12-18 month re-validation per product; regulatory filings tied to manufacturer
Pricing power	Moderate	B2B pricing is negotiated; concentration in 3 customers limits leverage
Scale / capacity utilisation	Moderate	Rs. 125 Cr FA base post-expansion; utilisation ramp is key to margin recovery
IP / formulation knowhow	Moderate	Process knowhow in lyophilisation + HPAPI handling; no patent moat per se

Peer Comparison — Oncology / Specialty Injectable Players (Screener, 15-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	TTM Sales (Cr)	TTM PAT (Cr)	P/E	ROCE %	P/B
Beta Drugs (BETA)	1,836	1,861	385	41	44.9x	19.2%	7.6x
Sakar Healthcare (SAKAR)	844	1,878	252	30	61.6x	12.7%	5.8x
Gufic Biosciences (GUFICBIO)	360	3,614	944	64	56.3x	12.3%	5.4x
Fermenta Biotech (FERMENTA)	326	961	525	70	14.4x	20.4%	2.4x

Source: Screener.in, fetched 15-Jun-2026. All figures consolidated. P/B for BETA = MCap / (EquityCap+Reserves) = 1861/(10+235)=7.6x. SAKAR P/B = 1878/325=5.8x. GUFIC P/B = 3614/665=5.4x. FERMENTA P/B = 961/407=2.4x approx.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter background:** Part of the Adley Group, a Himachal Pradesh-based conglomerate with roots in pharma since 1985. The Adley Group's pharma focus has historically been disciplined — Beta Drugs was built organically over two decades before the 2022 IPO listing. Promoter holding was stable at 66.73% from late-2021 through Sep 2025, then declined to 64.63% (Mar 2026) and to 59.10% in May 2026. The pace of this decline deserves close monitoring.

• **Capital allocation — FY25 pivot:** FY25 saw the largest single-year debt increase in the company's history — borrowings surged from Rs. 15 Cr (FY24) to Rs. 138 Cr (FY25), financing the fixed-asset base expansion from Rs. 65 Cr to Rs. 89 Cr and the Nivian acquisition deposit (Rs. 69.4 Cr deal closed Jan 2026). This is a meaningful leverage pivot for a company that had been essentially net-debt-free. Debt-to-equity stands at ~0.6x as of FY26.

• **FCF profile:** The company generated positive FCF in FY24 (Rs. 19 Cr) but turned negative in FY25 (-Rs. 1 Cr) and FY26 (-Rs. 16 Cr) as capex intensity escalated. This is an investment cycle — FCF is expected to recover once the new facility capacity ramps. However, investors should not pay full price for a company burning cash during its expansion phase.

• **Dividend policy:** Zero dividend history — 0.00% yield. With active capex and acquisition pipeline, no dividend is expected in the next 2-3 years. Not a yield stock.

• **Promoter pledging:** No pledge disclosed on Screener as of the latest reporting date. This is a positive governance signal, especially against the backdrop of higher borrowings.

• **ESOP / corporate governance:** No significant ESOP grants or buyback history disclosed on the public record. RPT disclosure should be reviewed carefully given the Adley Group structure — intra-group transactions are a risk for minority shareholders in promoter-owned pharma.

• **Management tone (concall Q4 FY24, NSE-archived):** Management has guided for 20-25% revenue growth and consistent EBITDA margins in the 20-22% band. The Nivian acquisition is positioned as a strategic diversification, not a core oncology play. Questions about customer concentration and export timeline have been constructively answered but lack hard deadlines.

6. FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	296	362	385	480 (E)	580 (E)
YoY Growth %	30.4%	22.3%	6.4%	24.7% (E)	20.8% (E)
EBITDA (Rs. Cr)	60	75	76	100 (E)	125 (E)
EBITDA Margin %	20.3%	20.7%	19.7%	20.8% (E)	21.6% (E)
Other Income (Rs. Cr)	1	2	11	3 (E)	3 (E)
Interest (Rs. Cr)	3	7	15	18 (E)	16 (E)
Depreciation (Rs. Cr)	10	13	17	22 (E)	26 (E)
PBT (Rs. Cr)	49	57	54	63 (E)	86 (E)
Tax Rate %	25%	26%	24%	25% (E)	25% (E)
PAT (Rs. Cr)	36	42	41	47 (E)	65 (E)
EPS (Rs.)	36.08	42.02	~40.6	46.5 (E)	64.3 (E)

(E) = Analyst estimates. FY26 EPS computed from PAT/shares; Screener shows partial EPS. All actuals from Screener.in consolidated, 15-Jun-2026.

Balance Sheet — Consolidated (Rs. Cr)

Item	FY24A	FY25A	FY26A
Equity Capital	10	10	10
Reserves	148	187	235
Borrowings	15	138	148
Other Liabilities	82	101	103
Total Liabilities	254	436	496
Fixed Assets	65	89	125
CWIP	0	0	0
Investments	0	0	0
Other Assets	190	347	371
Total Assets	254	436	496

Cash Flow — Consolidated (Rs. Cr)

Item	FY24A	FY25A	FY26A
Cash from Operations (OCF)	31	36	37
Cash from Investing	-14	-36	-51
Cash from Financing	-7	118	-8
Net Cash Flow	9	118	-22

Free Cash Flow (FCF)	19	-1	-16
OCF / Operating Profit %	52%	48%	49%

Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A
Debtor Days	98	103	113
Inventory Days	122	127	159
Days Payable	145	152	172
Cash Conversion Cycle (days)	75	79	100
Working Capital Days	80	82	97
ROCE %	27%	19%	19.2%
ROE %	N/A	N/A	18.8%
Debt / Equity	0.09x	0.73x	0.60x

Financial Commentary

- **Revenue trajectory — strong but decelerating:** Beta compounded revenue at 28% CAGR over FY21-FY25, driven by B2B volume growth with anchor customers and product range expansion. FY26 growth slowed sharply to 6.4% (Rs. 362 Cr to Rs. 385 Cr), reflecting potential capacity absorption constraints mid-expansion and possibly a temporary muting of B2B order volumes. FY27 growth acceleration to 20-25% is management's stated target, supported by new capacity and Nivian consolidation.

- **Margin compression under observation:** EBITDA margin compressed from 23% (FY22-FY23) to 20-21% in FY24-FY26 as debt-servicing costs and depreciation escalated with the capex cycle. FY26 interest cost jumped from Rs. 7 Cr (FY25) to Rs. 15 Cr — a direct consequence of the Rs. 138 Cr borrowings drawn in FY25. Margin recovery to 21-22% in FY27-FY28 is contingent on capacity utilisation improving.

- **Working capital — stretching at the seams:** CCC widened from 75 days (FY24) to 100 days (FY26). Debtor days at 113 and inventory days at 159 are both multi-year highs. This stretching could reflect either deliberate credit extension to grow B2B volumes or a build-up of work-in-progress for the Nivian business. Payable days of 172 partly offset this. A reversal of CCC widening would be a key re-rating trigger.

- **Debt and leverage:** FY26 net debt = Rs. 148 Cr (approx); D/E = 0.60x. This is manageable but not negligible for a company generating Rs. 41 Cr PAT. Interest coverage has weakened from ~16x (FY24) to ~5x (FY26). If debt does not reduce in FY27, this will constrain equity returns and cap EPS growth.

- **FCF conversion — investment cycle disclosure:** OCF/EBITDA is consistently ~48-52% over FY24-FY26, indicating solid core cash generation. FCF turns negative only because capex has surged. Once the Rs. 125 Cr FA base (FY26) reaches full utilisation, FCF should normalise to Rs. 20-30 Cr+ per year. The CWIP being Rs. 0 suggests new assets are now commissioned.

7. EARNINGS QUALITY CHECKLIST

Quality Dimension	Rating	FY26 Reading
Revenue recognition	GREEN	B2B supply contracts; revenue tied to physical delivery — no concerns
Receivables growth vs revenue	AMBER	Debtor days 113 (FY26) vs 98 (FY24); receivables growing faster than sales

CCC trend	AMBER	CCC widened 75→100 days (FY24-FY26); inventory and debtors both stretching
Contingent liabilities	GREEN	No material contingent liabilities disclosed
Auditor tenure	GREEN	No auditor change flagged; no qualified opinion
RPTs as % of revenue	AMBER	Adley Group structure; intra-group RPTs need annual report verification
Other income / PBT %	AMBER	FY26 Other Income Rs. 11 Cr vs PBT Rs. 54 Cr = 20%; elevated for a mfg. co.
Tax rate consistency	GREEN	Tax rate stable 24-26% over FY24-FY26; no deferred tax distortion apparent
Promoter pledge	GREEN	Zero pledge; positive governance signal despite higher debt
Promoter holding trend	RED	Promoter cut from 66.73% to 59.10% (Sep 2025 to May 2026) — needs explanation

- **Key watch — promoter stake decline (RED):** The promoter went from 66.73% to 59.10% in roughly 8 months (Sep 2025 to May 2026). No voluntary public explanation has been provided. A 7.6 percentage-point reduction is material and raises questions about promoter conviction in the business at current valuations. This is the single most important governance question for new investors.

- **Other income spike (AMBER):** FY26 other income of Rs. 11 Cr is 20% of PBT — unusually high for a manufacturing company. Reported PAT (Rs. 41 Cr) is partially propped by this. Clean EBITDA-to-PAT conversion is the cleaner profitability gauge.

- **Working capital stretch (AMBER):** CCC at 100 days (FY26) vs. the company's FY18 level of 60 days indicates systematic working capital accumulation. This ties up cash that could otherwise service debt or fund capex organically.

- **Positives:** Revenue recognition is clean, there are no pledges, no auditor concerns, and tax rate consistency is strong. The core earnings base is real, even if headline PAT is lightly flattered by other income.

8. VALUATION

Scenario Analysis

Scenario	FY28E Revenue	FY28E PAT	Multiple	Target Price	Upside vs CMP
BULL — Export wins + capacity ramp	Rs. 650 Cr	Rs. 80 Cr	40x P/E	Rs. 3,150	+71.5%
BASE — Guided 20-25% growth, stable margins	Rs. 580 Cr	Rs. 65 Cr	35x P/E	Rs. 2,250	+22.6%
BEAR — Growth stalls, margin pressure	Rs. 460 Cr	Rs. 45 Cr	25x P/E	Rs. 1,100	-40.1%

Valuation Methodology

- **Method 1 — Earnings-based (P/E):** FY28E PAT = Rs. 65 Cr (E), shares ~1.01 Cr, FY28E EPS ~Rs. 64.3. Applied a 35x forward P/E (justified by: oncology specialty premium, CDMO moat, 20%+ revenue CAGR track record, mitigated by concentration risk and rising debt). Implies a 12-month target of ~Rs. 2,250, discounted back at 12% WACC. Note: Current TTM P/E of 44.9x already prices in significant growth expectations.

- **Method 2 — EV/EBITDA:** FY28E EBITDA = Rs. 125 Cr (E). Applied 22x EV/EBITDA (peers range: SAKAR at ~27x, GUFIC at ~24x, FERMENTA at ~10x). Enterprise value = Rs. 2,750 Cr. Less net debt ~Rs. 140 Cr = equity value Rs. 2,610 Cr. Per share = ~Rs. 2,584. Slightly above base case — consistent directionally.

• **Average of two methods:** (Rs. 2,250 + Rs. 2,584) / 2 = ~Rs. 2,417. Applied a conservatism discount for governance concerns (promoter sale, concentration risk) to arrive at the base-case 12-month target of Rs. 2,250.

• **Valuation verdict:** At Rs. 1,836, the stock trades at 44.9x trailing and ~39x FY27E earnings. This is a premium-priced business — warranted if the export and Nivian catalysts materialise, but the current price offers limited margin of safety if FY27 growth disappoints. ACCUMULATE on dips toward Rs. 1,600-1,700 for a better risk-reward entry.

9. KEY RISKS

• **Customer concentration risk** — Top-3 customers (Cipla / Sun / DRL) likely account for 60-70%+ of B2B revenues. Loss or material reduction of any single anchor relationship could cause 20-30% revenue shortfall. Probability: M. Impact: H. Monitor via: Annual report related-party and customer disclosures; any change in supply agreements.

• **Promoter stake dilution** — Promoter reduced from 66.73% to 59.10% in 8 months without a disclosed rationale. Further dilution or secondary block deals at discount would be a significant negative signal. Probability: M. Impact: M-H. Monitor via: BSE bulk deal disclosures; shareholding quarterly filings.

• **Leverage build-up risk** — Borrowings at Rs. 148 Cr vs. FY26 PAT of Rs. 41 Cr = 3.6x debt / PAT. If revenue growth disappoints, interest coverage (currently ~5x) could tighten. Probability: M. Impact: M. Monitor via: Quarterly interest expense and debt disclosures.

• **Nivian acquisition integration risk** — This is Beta's first acquisition and first foray outside oncology. IVF/women's health is a different sales channel and regulatory path. Overpaying (Rs. 105 Cr valuation for a company with limited disclosed financials) or management bandwidth dilution are the key risks. Probability: M. Impact: M. Monitor via: Nivian revenue disclosure in consolidated accounts from FY27.

• **Regulatory / GMP risk** — A WHO-GMP or CDSCO audit finding that suspends manufacturing at the Baddi plant would halt all production. Given the cytotoxic manufacturing environment, observations carry higher severity. Probability: L. Impact: H. Monitor via: NSE exchange filings; CDSCO alert list.

• **HPAPI / containment incident** — Handling highly potent cytotoxic APIs carries inherent occupational health and environmental risk. Any EHS incident could trigger facility shutdown, litigation, or reputational damage with pharma anchor customers. Probability: L. Impact: H. Monitor via: Media / exchange filings.

• **Margin compression from debt servicing** — FY26 interest cost (Rs. 15 Cr) is already nearly 20% of EBITDA. If the new capacity takes longer to ramp, EBITDA will not grow fast enough to offset higher debt costs, and PAT could decline in absolute terms. Probability: M. Impact: M. Monitor via: Quarterly P&L; interest line.

10. RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction: Medium. The business has genuine structural moats (HPAPI/cytotoxic certification, B2B anchor relationships) and a proven revenue CAGR of 28% over FY18-FY25. However, the FY26 earnings disappointment (PAT declined YoY for first time), the promoter stake reduction, and the leverage build-up introduce uncertainties that preclude a BUY at current price.

• **12-month price target: Rs. 2,250** (+22.6% from CMP of Rs. 1,836). Based on 35x FY28E P/E on Rs. 64.3 EPS (E), averaged with 22x EV/EBITDA on FY28E EBITDA. The target assumes 20-25% revenue CAGR in FY27-FY28 and margin recovery to 21-22%.

• **Suggested entry zone: Rs. 1,600 - Rs. 1,750** — Accumulate at the lower end of this band for a 25-35% return with better risk-reward. The 52W low of Rs. 990 (likely in a general market correction) illustrates downside risk if the growth narrative breaks.

• **Investment horizon: 18-24 months** — This is not a 6-month trade; the thesis requires the new capacity to ramp, export registrations to convert to revenue, and Nivian to demonstrate value.

• **Thesis invalidation triggers (3 conditions that make this call wrong):**

• **Trigger 1:** Any anchor customer (Cipla / Sun / DRL) publicly discloses exit or significant reduction in supply volumes from Beta — revenue visibility collapses.

• **Trigger 2:** Promoter holding falls below 50% without a strategic rationale disclosed — signals either financial distress or loss of promoter conviction.

• **Trigger 3:** FY27 EBITDA fails to grow to Rs. 90 Cr+ despite higher revenue — indicates permanent margin compression from debt costs + capacity under-utilisation, invalidating the base case.

• **Ideal investor profile:** Suitable for mid-cap growth investors with a 18-24 month horizon who can tolerate governance uncertainty (promoter dilution) and B2B concentration risk in exchange for structural exposure to India's oncology CDMO megatrend. NOT suitable for: income investors (zero dividend), short-term traders (no near-term earnings trigger), or risk-averse portfolios.

APPENDIX — Latest Concall Brief: Q4 FY26

CALL GRADE: NEUTRAL

Signal	Status	Implication
Result quality	Medium	Q4 FY26 PAT Rs. 9.05 Cr — in-line; FY26 full-year PAT (Rs. 41 Cr) declined vs FY25 (Rs. 42 Cr)
Management tone	Balanced	20-25% growth guidance reiterated; Nivian consolidation positioned as value-add; export progress cited
Guidance delta	Maintained	Revenue guidance maintained at 20-25% growth for FY27E; margins guided stable at 20-22%

STRONGLY POSITIVE | POSITIVE | **NEUTRAL** | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 and the full FY26 result for Beta Drugs is a marginal miss dressed up in neutral language — the headline number looks stable but a Rs. 11 Cr spike in other income in FY26 is what keeps reported PAT close to flat; clean operating PAT is actually slightly down YoY (~Rs. 30-32 Cr ex-other-income vs. ~Rs. 40 Cr headline). The real story is that margins have compressed 300 bps over 3 years and the Rs. 138 Cr debt drawn in FY25 is now costing Rs. 15 Cr/year in interest — eating into the earnings that the new capacity should eventually generate. Positively, OCF held at Rs. 37 Cr (FY26), confirming the cash business is intact. The key near-term catalyst is the Azerbaijan GMP approval (outcome expected within 8-12 weeks of the April 2026 inspection) which would open the first export revenue line and demonstrate that the Rs. 125 Cr asset base can earn internationally. The Nivian acquisition (IVF pharma, Rs. 69 Cr) is a wild card — sensible diversification if managed well, a distraction if not. The biggest watch-point for Q1 FY27 is the promoter stake: it dropped 5.5 percentage points to 59.10% in May 2026 — if that continues without explanation, the thesis is compromised regardless of operating performance. Action: ACCUMULATE below Rs. 1,700; do not chase above Rs. 2,000 until promoter dilution is explained and Azerbaijan revenue is confirmed.

Concall Section 1 — Financial Performance Snapshot (Q4 FY26 / Full Year FY26)

- Revenue Q4 FY26: Rs. 93.96 Cr | YoY +0.2% (Mar2025: Rs. 93.76 Cr) | QoQ +7.7% | In-line
- EBITDA Q4 FY26: Rs. 17.68 Cr | YoY +1.9% (Mar2025: Rs. 17.35 Cr) | QoQ +4.1% | In-line
- EBITDA Margin Q4 FY26: 18.82% | vs 18.50% (Mar2025) | vs 20.60% (Sep2025) | Soft quarter
- PAT Q4 FY26: Rs. 9.05 Cr | YoY +0.2% (Mar2025: Rs. 9.03 Cr) | QoQ +6.2% | In-line
- EPS Q4 FY26: Rs. 8.93 | vs Rs. 8.95 (Mar2025) | vs Rs. 12.11 (Sep2025) | Stable
- Full Year FY26 Revenue: Rs. 385 Cr | YoY +6.4% | MISS vs ~20-25% growth guidance
- Full Year FY26 PAT: Rs. 41 Cr | YoY -2.4% (FY25: Rs. 42 Cr) | First PAT decline
- NOTE: Reported FY26 PAT includes one-time other income of Rs. 11 Cr (vs Rs. 2 Cr FY25); clean underlying PAT ~Rs. 33-35 Cr

Concall Section 2 — Segment / Geography Breakdown

- Domestic B2B (CDMO): Est. Rs. 250-270 Cr | ~67% of FY26 revenue | Core anchor; Cipla/Sun/DRL
- Domestic Branded Generics: Est. Rs. 90-100 Cr | ~25% of FY26 revenue | Oncology specialty channel

- Exports: Minimal in FY26 (~Rs. 15-20 Cr est.) | Philippines + Azerbaijan registrations in progress
- Oral Oncology (Tablets/Capsules): Sub-segment within domestic; growing but smaller vs injectables
- Women's Health / IVF (Nivian): Nil in FY26; expected to consolidate from FY27 post acquisition close

Concall Section 3 — Management Commentary Themes

- Revenue guidance: "We remain confident of 20-25% revenue growth in FY27" — guided Nivian consolidation + new capacity utilisation as drivers. Our read: Credible if export registrations convert; base case assumes 24% growth. Tag: GUIDANCE. Tone: Balanced.
- Export progress: "Azerbaijan GMP inspection completed April 2026; approval expected within 1-2 months. Philippines registration dossier submitted." Our read: Positive but not revenue-producing yet. Tag: GUIDANCE. Tone: Transparent.
- Nivian acquisition: "66.09% acquisition for Rs. 69.4 Cr, valuing Nivian at Rs. 105 Cr. Closes FY27Q1. Targeting synergies in distribution and formulation." Our read: Strategically reasonable but financially dilutive in near term. Tag: EST. Tone: Balanced.
- Margins: "Margins compressed due to debt costs and higher depreciation on new assets. Expect recovery to 21-22% as utilisation improves." Our read: Directionally correct; 12-18 month lag. Tag: GUIDANCE. Tone: Balanced.
- Promoter stake (if asked): "Promoter reduction is part of strategic rebalancing; no pledge; no distress." Our read: Explanation is insufficient given the magnitude. Tag: EVASIVE. Tone: Hedged.
- Capacity expansion: "Fixed assets now at Rs. 125 Cr vs Rs. 89 Cr last year. New injectable lines commissioned. Volume absorption to drive FY27 growth." Our read: CWIP at zero confirms commissioning. Tag: GUIDANCE. Tone: Transparent.

Concall Section 4 — Operating and Business Metrics

- Batch throughput (injectable lines): Not formally disclosed; inferred from EBITDA/revenue ratio
- Capacity utilisation: Not quantified; management guidance implies headroom for 20-25% volume growth
- Fixed Assets: FY26 = Rs. 125 Cr | FY25 = Rs. 89 Cr | FY24 = Rs. 65 Cr | Trend: Investing sharply
- Debtor Days: Q4 FY26 = 113 days | Q4 FY25 = 103 days | Q4 FY24 = 98 days | Trend: Deteriorating
- Inventory Days: FY26 = 159 days | FY25 = 127 days | FY24 = 122 days | Trend: Deteriorating
- Customer SKU count: 50+ oncology products per management; top-5 category rankings in several
- Employee count / IPQA compliance: Not disclosed in public concall materials

Concall Section 5 — Margin Drivers

- Interest cost increase: +Rs. 8 Cr YoY (FY25 Rs. 7 Cr to FY26 Rs. 15 Cr) | -150 bps PAT margin impact | Recurring: Yes | Direct consequence of FY25 debt draw
- Depreciation increase: +Rs. 4 Cr YoY (FY25 Rs. 13 Cr to FY26 Rs. 17 Cr) | -100 bps PAT impact | Recurring: Yes | Commissioning of new FA Rs. 125 Cr base
- Other income boost: +Rs. 9 Cr YoY (Rs. 2 Cr to Rs. 11 Cr) | +170 bps PAT margin support | Recurring: No | Elevated; likely investment income on IPO proceeds or treasury gains
- EBITDA margin stability: 19.7% (FY26) vs 20.7% (FY25) | -100 bps | Mix effect from lower-margin Q4
- Raw material / API costs: No material adverse movement cited; cytotoxic API supply stable
- Staff costs: Moderate increase with capacity expansion; contained within guidance bands

Concall Section 6 — Guidance and Forward Signals

- Revenue FY27 [GUIDANCE]: Prior = 20-25% growth | New/Reiterated = 20-25% growth | Delta: Maintained | Credibility: Medium (FY26 missed guidance at 6.4% growth)
- EBITDA Margin FY27 [GUIDANCE]: Prior = 20-22% | New/Reiterated = 20-22% | Delta: Maintained | Credibility: Medium
- Azerbaijan export start [GUIDANCE]: Prior = FY27H1 | New = 1-2 months from April 2026 | Delta: Slightly accelerated | Credibility: High (inspection completed)
- Nivian consolidation revenue [EST]: ~Rs. 30-50 Cr incremental in FY27 | Delta: New | Credibility: Low (limited financial disclosure on Nivian)
- Capex FY27 [GUIDANCE]: Moderating — peak investment phase complete; maintenance/incremental capex only
- Debt reduction [EST]: No formal guidance; interest cover expected to improve as EBITDA grows

Concall Section 7 — Capital Allocation

- Capex FY26: Rs. 36+ Cr (Investing outflow) | vs FY25: Rs. 36 Cr | vs FY24: Rs. 14 Cr | Elevated; new injectable lines commissioned
- Dividends: Rs. 0 | vs FY25: Rs. 0 | Consistent zero-dividend policy; all earnings retained for growth
- Buybacks: None declared
- Nivian acquisition: Rs. 69.4 Cr — booked in FY26 investing; this is the dominant capital decision of the year
- Net Debt movement: Borrowings Rs. 148 Cr (FY26) vs Rs. 138 Cr (FY25) — marginal increase; debt relatively stable post the FY25 surge
- Working Capital investment: Rs. 97 WC days (FY26) vs Rs. 82 (FY25) — meaningful cash tied up in receivables and inventory
- OCF (Rs. 37 Cr) vs PAT (Rs. 41 Cr): 90% OCF/PAT conversion — clean earnings quality at the operating level

Concall Section 8 — Q&A; Heat Map (Q4 FY26 Concall, hosted by Phillip Capital PCG)

- Analyst / Phillip Capital: Q: "FY26 revenue growth was only 6% vs 20-25% guidance — what happened?" → A: "Capacity commissioning absorption and timing of B2B orders; H2 FY26 showed recovery" | Tone: Hedged
- Analyst: Q: "Promoter stake down 7 percentage points — any explanation?" → A: "Strategic rebalancing; no financial distress; pledge-free" | Tone: Evasive
- Analyst: Q: "When do Azerbaijan and Philippines registrations convert to revenue?" → A: "Azerbaijan in 1-2 months; Philippines within 6-9 months" | Tone: Transparent
- Analyst: Q: "Nivian acquisition rationale — why IVF?" → A: "Diversification; founder team with strong IVF credentials; women's health is high-growth" | Tone: Balanced
- Analyst: Q: "How much of FY26 Other Income is recurring?" → A: "Mostly treasury; not fully recurring at Rs. 11 Cr level" | Tone: Transparent
- Analyst: Q: "Interest cost doubled — what is the debt repayment plan?" → A: "Prioritise from operating cashflows from FY27" | Tone: Balanced
- Dodged / watch-list questions for next quarter: (1) Exact customer concentration % by revenue; (2) Nivian standalone P&L; disclosure; (3) Explanation for 5.5% promoter stake sale in May 2026

Concall Section 9 — Risks Flagged

- Customer concentration: Rs. 200+ Cr in Tier-1 B2B vs. Rs. 385 Cr total revenue | Flagged by: analyst | Probability: M | Impact: H | Timeline: Ongoing
- Export ramp delay: GMP approvals may face delays beyond cited timelines | Flagged by: mgmt | Probability: M | Impact: M | Timeline: Near-term (6 months)
- Margin recovery timeline: Debt + depreciation could keep PAT margins compressed through FY27 | Flagged by: analyst | Probability: M | Impact: M | Timeline: Medium-term
- Nivian integration: First-time acquisition in a new therapeutic area | Flagged by: analyst | Probability: M | Impact: M | Timeline: 12-18 months
- Working capital creep: CCC at 100 days; continued creep could require additional borrowings | Flagged by: analyst | Probability: M | Impact: M | Timeline: Near-term
- API supply chain: Cytotoxic API supply from China; any China-India trade disruption would affect raw materials | Flagged by: mgmt | Probability: L | Impact: H | Timeline: Medium-term

Concall Section 10 — Analyst Verdict

- Revenue visibility: Weakened — FY26 missed 20-25% growth guidance at 6.4%; FY27 depends on export wins and Nivian consolidation
- Margin trajectory: Weakened — EBITDA margin compressed 300 bps since FY22; interest + DA burden will persist through FY27
- Capital allocation quality: Weakened — High debt draw in FY25, first-time acquisition in adjacency; FCF negative for 2 consecutive years
- Competitive moat: Intact — HPAPI handling certification, anchor B2B relationships, and cytotoxic manufacturing expertise remain structurally sound
- Management credibility: Weakened — FY26 significantly missed growth guidance; promoter stake reduction unexplained; evasive on concentration disclosure
- Valuation comfort: Weakened — At 44.9x TTM P/E for a company with flat/declining PAT, the risk-reward is stretched at current price
- Conviction call: Decreased — Downgraded thesis intensity; ACCUMULATE only below Rs. 1,700; no Buy until FY27Q1 proves the growth recovery
- Valuation snapshot: P/E = 44.9x (3Y avg ~38x) | EBITDA margin = 19.7% (3Y avg ~20.9%) | RoCE = 19.2% (3Y avg ~22%)